IB Economics - Topic 4.4: Teacher and AI Grading Guide

Economic Integration | Questions 1-35

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 29 questions assess SL/HL content; 6 questions are explicitly labelled HL. Difficulty: 7 Easy, 18 Medium, 10 Hard pairs, distributed through the bank. Level and difficulty are independent.

Trade agreements, free-trade areas, customs unions, common markets, monetary union and WTO roles. Trade creation/diversion and monetary-union advantages/disadvantages are HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic’s numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Thirty-five distinct pairs cover each form, benefit, cost and WTO issue, including HL trade creation/diversion. Extending to 50 would recycle the same integration mechanisms.

Coverage blueprint

Agreements: Questions 1-5

Bloc types: Questions 6-10

Bloc benefits: Questions 11-15

Bloc limits: Questions 16-20

Monetary union: Questions 21-23

WTO: Questions 24-29

HL creation diversion: Questions 30-33

HL monetary: Questions 34-35

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.4: Agreements

(a) [10] Explain how a bilateral preferential trade agreement differs from a regional agreement.

(b) [15] Using real-world examples, discuss whether a smaller agreement is easier to negotiate than a wider one.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Bilateral involves two partners; regional involves several; bargaining and rules differ.

Required reasoning. Bilateral involves two partners; regional involves several; bargaining and rules differ.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes agreements from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Bilateral involves two partners; regional involves several; bargaining and rules differ.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why agreements may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.4: Agreements

(a) [10] Explain how multilateral trade negotiations differ from bilateral tariff preferences.

(b) [15] Using real-world examples, evaluate whether multilateral rules always produce broader gains.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Bilateral involves two partners; regional involves several; bargaining and rules differ.

Required reasoning. Many parties seek common disciplines, but consensus can be difficult.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes agreements from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Many parties seek common disciplines, but consensus can be difficult.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why agreements may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.4: Agreements

(a) [10] Explain why countries may grant partner imports preferential access.

(b) [15] Using real-world examples, discuss whether preferences necessarily increase total trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Bilateral involves two partners; regional involves several; bargaining and rules differ.

Required reasoning. Lower partner barriers redirect and can expand trade; origin rules and other costs matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes agreements from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower partner barriers redirect and can expand trade; origin rules and other costs matter.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why agreements may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.4: Agreements

(a) [10] Explain why rules of origin may be needed in a free-trade area.

(b) [15] Using real-world examples, evaluate whether these rules reduce the gains from integration.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Bilateral involves two partners; regional involves several; bargaining and rules differ.

Required reasoning. Members retain different external tariffs, so origin rules prevent transshipment but raise compliance costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes agreements from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Members retain different external tariffs, so origin rules prevent transshipment but raise compliance costs.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why agreements may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.4: Agreements

(a) [10] Explain how a preferential trade agreement can affect competition among domestic firms.

(b) [15] Using real-world examples, discuss whether preferential access always lowers consumer prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Bilateral involves two partners; regional involves several; bargaining and rules differ.

Required reasoning. Lower partner barriers raise rivalry, subject to pass-through and market power.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes agreements from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower partner barriers raise rivalry, subject to pass-through and market power.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why agreements may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.4: Bloc types

(a) [10] Explain the difference between a free-trade area and a customs union.

(b) [15] Using real-world examples, discuss whether a common external tariff strengthens an integrated market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Both lower internal barriers; customs union also applies common external tariff.

Required reasoning. Both lower internal barriers; customs union also applies common external tariff.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc types from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Both lower internal barriers; customs union also applies common external tariff.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc types may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.4: Bloc types

(a) [10] Explain why customs-union members need a common external trade policy.

(b) [15] Using real-world examples, evaluate whether the loss of tariff autonomy is worth deeper integration.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Both lower internal barriers; customs union also applies common external tariff.

Required reasoning. Different external rates would invite transshipment; common policy coordinates outside trade.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc types from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different external rates would invite transshipment; common policy coordinates outside trade.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc types may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.4: Bloc types

(a) [10] Explain how a common market differs from a customs union.

(b) [15] Using real-world examples, discuss whether labour mobility always improves employment outcomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Both lower internal barriers; customs union also applies common external tariff.

Required reasoning. Common market adds factor mobility to common external tariff and internal goods trade.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc types from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Common market adds factor mobility to common external tariff and internal goods trade.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc types may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.4: Bloc types

(a) [10] Explain why freedom of labour movement can affect firms' access to skills.

(b) [15] Using real-world examples, evaluate whether labour mobility benefits all member regions equally.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Both lower internal barriers; customs union also applies common external tariff.

Required reasoning. Workers can move toward vacancies; sending regions may lose skills while recipients gain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc types from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Workers can move toward vacancies; sending regions may lose skills while recipients gain.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc types may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.4: Bloc types

(a) [10] Explain why deeper economic integration can reduce national policy autonomy.

(b) [15] Using real-world examples, discuss whether sovereignty costs outweigh market-access benefits.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Both lower internal barriers; customs union also applies common external tariff.

Required reasoning. Shared rules and external tariffs restrict unilateral choices, while bargaining power may rise.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc types from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Shared rules and external tariffs restrict unilateral choices, while bargaining power may rise.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc types may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.4: Bloc benefits

(a) [10] Explain how access to a larger common market can create economies of scale.

(b) [15] Using real-world examples, evaluate whether every firm can exploit the larger market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Larger sales spread fixed costs, but competition and firm capabilities vary.

Required reasoning. Larger sales spread fixed costs, but competition and firm capabilities vary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Larger sales spread fixed costs, but competition and firm capabilities vary.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc benefits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.4: Bloc benefits

(a) [10] Explain how a trading bloc can strengthen members' bargaining power in negotiations.

(b) [15] Using real-world examples, discuss whether a larger bloc always represents small members fairly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Larger sales spread fixed costs, but competition and firm capabilities vary.

Required reasoning. Joint market size improves leverage while internal preferences may diverge.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Joint market size improves leverage while internal preferences may diverge.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc benefits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.4: Bloc benefits

(a) [10] Explain how trade integration may encourage political cooperation.

(b) [15] Using real-world examples, evaluate whether commercial links necessarily prevent political disputes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Larger sales spread fixed costs, but competition and firm capabilities vary.

Required reasoning. Common institutions and interdependence create incentives to coordinate, not guarantees.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Common institutions and interdependence create incentives to coordinate, not guarantees.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc benefits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.4: Bloc benefits

(a) [10] Explain how freer movement of goods among members can change consumer choice.

(b) [15] Using real-world examples, discuss whether consumers benefit equally across member countries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Larger sales spread fixed costs, but competition and firm capabilities vary.

Required reasoning. More partner varieties enter, but price effects and income vary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. More partner varieties enter, but price effects and income vary.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc benefits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.4: Bloc benefits

(a) [10] Explain why common standards can reduce the cost of selling across members.

(b) [15] Using real-world examples, evaluate whether regulatory harmonisation always improves welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Larger sales spread fixed costs, but competition and firm capabilities vary.

Required reasoning. One set of requirements reduces duplication but may weaken or strengthen safeguards.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc benefits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. One set of requirements reduces duplication but may weaken or strengthen safeguards.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc benefits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.4: Bloc limits

(a) [10] Explain why a preferential bloc may disadvantage efficient non-members.

(b) [15] Using real-world examples, discuss whether discrimination against outsiders can undermine global efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Preferences favour members despite potential lower-cost external suppliers.

Required reasoning. Preferences favour members despite potential lower-cost external suppliers.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Preferences favour members despite potential lower-cost external suppliers.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc limits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.4: Bloc limits

(a) [10] Explain why complex internal rules may reduce the effective benefit of tariff-free trade.

(b) [15] Using real-world examples, evaluate whether nominal zero tariffs imply frictionless trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Preferences favour members despite potential lower-cost external suppliers.

Required reasoning. Origin checks and customs paperwork can still raise costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Origin checks and customs paperwork can still raise costs.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc limits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.4: Bloc limits

(a) [10] Explain how a customs union can constrain a member's independent tariff policy.

(b) [15] Using real-world examples, discuss whether autonomy is more valuable than predictable regional rules.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Preferences favour members despite potential lower-cost external suppliers.

Required reasoning. Common external tariff prevents unilateral changes; shared commitments can improve certainty.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Common external tariff prevents unilateral changes; shared commitments can improve certainty.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc limits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.4: Bloc limits

(a) [10] Explain why regional agreements may complicate multilateral negotiations.

(b) [15] Using real-world examples, evaluate whether regional integration complements global liberalisation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Preferences favour members despite potential lower-cost external suppliers.

Required reasoning. Overlapping rules can divert effort and trade, while blocs can pilot broader commitments.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Overlapping rules can divert effort and trade, while blocs can pilot broader commitments.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc limits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.4: Bloc limits

(a) [10] Explain how unequal market size can affect bargaining within a trading bloc.

(b) [15] Using real-world examples, discuss whether small members necessarily lose influence.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Preferences favour members despite potential lower-cost external suppliers.

Required reasoning. Large economies have commercial leverage, but bloc institutions may protect smaller partners.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes bloc limits from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Large economies have commercial leverage, but bloc institutions may protect smaller partners.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why bloc limits may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.4: Monetary union

(a) [10] Explain how a monetary union differs from a common market.

(b) [15] Using real-world examples, discuss whether a shared currency is necessary for integrated trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Monetary union shares currency/monetary policy, beyond goods and factor mobility.

Required reasoning. Monetary union shares currency/monetary policy, beyond goods and factor mobility.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes monetary union from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Monetary union shares currency/monetary policy, beyond goods and factor mobility.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why monetary union may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.4: Monetary union

(a) [10] Explain why a common currency removes bilateral exchange-rate uncertainty among members.

(b) [15] Using real-world examples, evaluate whether lower transaction costs guarantee growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Monetary union shares currency/monetary policy, beyond goods and factor mobility.

Required reasoning. Trade within currency area avoids conversion risk, though other costs persist.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes monetary union from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Trade within currency area avoids conversion risk, though other costs persist.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why monetary union may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.4: Monetary union

(a) [10] Explain why members of a monetary union cannot set separate monetary policies.

(b) [15] Using real-world examples, discuss whether one interest rate suits all member economies.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Monetary union shares currency/monetary policy, beyond goods and factor mobility.

Required reasoning. Single central policy rate can fit regions differently when cycles diverge.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes monetary union from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Single central policy rate can fit regions differently when cycles diverge.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why monetary union may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain two functions of the World Trade Organization in international trade.

(b) [15] Using real-world examples, evaluate whether common trade rules make disputes disappear.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain why the WTO seeks predictable commitments on tariffs.

(b) [15] Using real-world examples, discuss whether tariff ceilings alone ensure free trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. Bound rates reduce uncertainty but applied rates and non-tariff barriers remain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Bound rates reduce uncertainty but applied rates and non-tariff barriers remain.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain how trade negotiations under the WTO differ from a regional preferential agreement.

(b) [15] Using real-world examples, evaluate whether multilateral agreements are preferable for smaller countries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. WTO-wide disciplines cover many members; regional preferences can deliver quicker but narrower access.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. WTO-wide disciplines cover many members; regional preferences can deliver quicker but narrower access.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain why agreement on agricultural trade can be difficult among WTO members.

(b) [15] Using real-world examples, discuss whether common rules can reconcile differing farm interests.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. Members differ in subsidies and market-access priorities, making compromise hard.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Members differ in subsidies and market-access priorities, making compromise hard.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain why negotiations on services present challenges distinct from goods tariffs.

(b) [15] Using real-world examples, evaluate whether services liberalisation is equally beneficial to all members.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. Domestic regulation and qualification rules make market access hard to standardise.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Domestic regulation and qualification rules make market access hard to standardise.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.4: WTO

(a) [10] Explain how unequal bargaining power may affect the influence of WTO members.

(b) [15] Using real-world examples, discuss whether formal membership gives small economies equal practical influence.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: WTO administers agreements and provides negotiation/dispute processes; interests still conflict.

Required reasoning. Market size and negotiation resources vary despite shared institutions.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes wto from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Market size and negotiation resources vary despite shared institutions.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why wto may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | HL | 25 marks

Topic 4.4: HL creation diversion

(a) [10] Explain why trade creation can occur when a customs union removes tariffs between members.

(b) [15] Using real-world examples, evaluate whether trade creation necessarily outweighs fiscal revenue loss.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Required reasoning. Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl creation diversion from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl creation diversion may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | HL | 25 marks

Topic 4.4: HL creation diversion

(a) [10] Explain why trade diversion may occur after a customs union is formed.

(b) [15] Using real-world examples, discuss whether greater trade among members always increases welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Required reasoning. Lower-cost non-member output may be replaced by higher-cost partner output due to preferences.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl creation diversion from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower-cost non-member output may be replaced by higher-cost partner output due to preferences.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl creation diversion may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | HL | 25 marks

Topic 4.4: HL creation diversion

(a) [10] Explain how a common external tariff can influence the balance between trade creation and diversion.

(b) [15] Using real-world examples, evaluate whether a lower external tariff reduces diversion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Required reasoning. High outsider tariff increases preference margin, making diversion more likely.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl creation diversion from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. High outsider tariff increases preference margin, making diversion more likely.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl creation diversion may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | HL | 25 marks

Topic 4.4: HL creation diversion

(a) [10] Explain why the observed growth of intra-bloc trade does not prove trade creation.

(b) [15] Using real-world examples, discuss whether import source changes are sufficient to measure welfare gains.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: Higher-cost domestic production is replaced by lower-cost partner output, producing efficiency gains.

Required reasoning. Intra-bloc trade can expand through efficient replacement or inefficient diversion.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl creation diversion from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Intra-bloc trade can expand through efficient replacement or inefficient diversion.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl creation diversion may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | HL | 25 marks

Topic 4.4: HL monetary

(a) [10] Explain how an asymmetric economic shock creates difficulty for a monetary union.

(b) [15] Using real-world examples, evaluate whether labour mobility can substitute for national monetary policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: One common rate cannot stabilise both economies perfectly; mobile labour can adjust partly.

Required reasoning. One common rate cannot stabilise both economies perfectly; mobile labour can adjust partly.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl monetary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. One common rate cannot stabilise both economies perfectly; mobile labour can adjust partly.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl monetary may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | HL | 25 marks

Topic 4.4: HL monetary

(a) [10] Explain why losing independent exchange-rate adjustment can matter to a monetary-union member.

(b) [15] Using real-world examples, discuss whether the benefits of a common currency outweigh this cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Agreements deepen from preferential access through free-trade area, customs union, common market and monetary union, with distinct sovereignty and mobility implications. Specifically: One common rate cannot stabilise both economies perfectly; mobile labour can adjust partly.

Required reasoning. Member cannot devalue separately after a local shock, requiring wage or fiscal adjustment.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl monetary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Member cannot devalue separately after a local shock, requiring wage or fiscal adjustment.

Counterargument and conditions. Market access gains depend on the outside tariff, member capacity, labour mobility and the cost of lost policy autonomy. For this focus, consider why hl monetary may have a different effect across countries.

Application and real-world example. WTO regional trade agreement profiles identify members and legal forms; verify whether an example is an FTA, customs union or common market. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.4; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

WTO RTAs. Regional trade agreement database and provisions.

Open source

Final checks

35 paired questions; 7 Easy, 18 Medium, 10 Hard; 29 questions assess SL/HL content; 6 questions are explicitly labelled HL. The student paper contains no answers or difficulty labels.